

ESG goals and key drivers methodology

Material topic	Goal	Metric	Methodology
Advancing sustainability			
Climate action	By 2050, we will achieve net zero greenhouse gas (GHG) emissions across scopes 1, 2 and 3	MT CO ₂ e of scope 1, scope 2 and scope 3 (reported categories) GHG emissions	We focus on reducing direct and indirect emissions in areas with the largest opportunity for impact. Our goal is aligned with the SBTi definition of net zero, inclusive of 90% reduction and 10% abatement, and we submitted our net zero goal for SBTi validation in FY24. In accordance with the GHG Protocol accounting standards and guidance, we update our emissions methodology as deemed necessary.
	Key Driver: By 2030, we will reduce scopes 1 and 2 greenhouse gas (GHG) emissions by 50%	MT CO ₂ e of scope 1 and scope 2 market-based GHG emissions	The measurement is the sum of our scope 1 emissions plus the scope 2 market-based emissions. We use the market-based method to measure emissions because it exhibits the influence that our renewable electricity purchases have on our emissions footprint.
	Key Driver: By 2030, we will source 75% of electricity from renewable sources across all Dell Technologies facilities — and 100% by 2040	Percentage of electricity generated from renewable sources	The quantity of renewable electricity includes purchased electricity for our owned facilities generated from wind, solar, hydroelectric and other renewable sources plus renewable electricity generated on-site, such as from solar panels. Calculations follow the RE100 technical criteria in addition to the GHG Protocol accounting standards and guidance.
	Key Driver: By 2030, we will reduce absolute scope 3 GHG emissions from purchased goods and services by 45%	MT CO ₂ e of scope 3 category 1 GHG emissions	To calculate scope 3 category 1 emissions, we use a hybrid method that includes supplier-reported allocated emissions, commodity-level emission factors and Environmentally-Extended Input-Output (EEIO) factors to estimate our share of suppliers’ emissions contributions. This calculation is run for direct and indirect suppliers, with whom Dell has purchased goods and services from and then totaled to arrive at our scope 3 category 1 emissions number.
	Key Driver: By 2030, we will reduce absolute scope 3 GHG emissions from use of sold products by 30%	MT CO ₂ e of scope 3 category 11 GHG emissions	Calculations for this key driver are done through a two-step process. First, we calculate the aggregate energy footprint for each product type. For client, displays, networking and server products, this calculation is based on the lifetime expected energy use for representative models and the number of units shipped by country during the reporting period for each of these models. For storage products, this calculation is based on the expected lifetime energy use for the representative drives and enclosures shipped during the fiscal year. Second, we calculate country-specific carbon footprints using International Energy Agency (IEA) published emissions factors. We adjust the IEA emissions factors to account for the updates to Global Warming Potential factor differences between Intergovernmental Panel on Climate Change’s (IPCC) Fourth and Sixth Assessment Reports (AR4 and AR6). We sum the country-specific carbon footprints to estimate a worldwide scope 3 category 11 figure for Dell’s hardware portfolio. The country-level emissions factors for purchased electricity change regularly. For FY24, this calculation uses the 2022 estimated emissions factors published by the IEA in 2023. Where those are not available, we use the IEA’s 2021 figures that were also published in 2023.